

China healthcare

EQUITY: HEALTH CARE & PHARMACEUTICALS

Another proposal from the US that might hinder cross-Pacific life-science collaboration

Still positive in the long run but concerned about short-term pressure given current lukewarm sentiment.

On 21 May (local time), a letter from the Chairman of Select Committee on China, Congress of the US, was sent to the US Department of Treasury, recommending the Treasury to add biotechnology as a prohibited technology in the Comprehensive Outbound Investment National Security (COINS) Act.

This petition is against the backdrop of surging collaboration between China and the US in life-science, mainly Chinese pharmaceuticals/biotech out licensing their early-stage molecules to US counterparts, over the past two years. This letter cited two recent deals: one between Innovent (1801 HK,Buy) and Eli Lilly (LLY US, not rated), see our report: [Quick Note - Innovent \(1801 HK\) \(Buy\) - A collaboration with Eli Lilly](#) and another between Hengrui (600276 CH/1276 HK,Buy) and BMS (BMY US, not rated), see our report: [Quick Note - Hengrui \(600276 CH\) \(Buy\) - Big collaboration deal signed with BMS](#), to illustrate how deeply China and US firms co-work on this front.

It is not the first time that the US has objection to the cross-pacific collaboration, see our report: [China healthcare - Geopolitical concerns re-emerge...](#). We would not be able to project an outcome from this proposal, as it involves multiple stakeholders including US pharmaceuticals, US Congress, Department of Treasury, and investors, among others. However, we believe the cross boarder collaboration in life-science, a cornerstone for human advancement, and a sector worth trillions of dollars, would remain largely intact, if we refer to the Biosecure Act actual impact as a guide. Also a friendly US-China leaders' summit in mid-May might help ease trade escalation and a further 'decouple' less likely, in our view.

Nevertheless, the sentiment of sector investment might be weighed down in the short term, even though investors have largely shrugged off recent out-license news, as the share prices of Innovent and Hengrui have not moved significantly despite the two above-mentioned collaboration announcements.

Research Analysts**China Health Care & Pharmaceuticals****Jialin Zhang, CFA, CPA - NIHK**

jialin.zhang@nomura.com

+852 2252 6134

Appendix A-1

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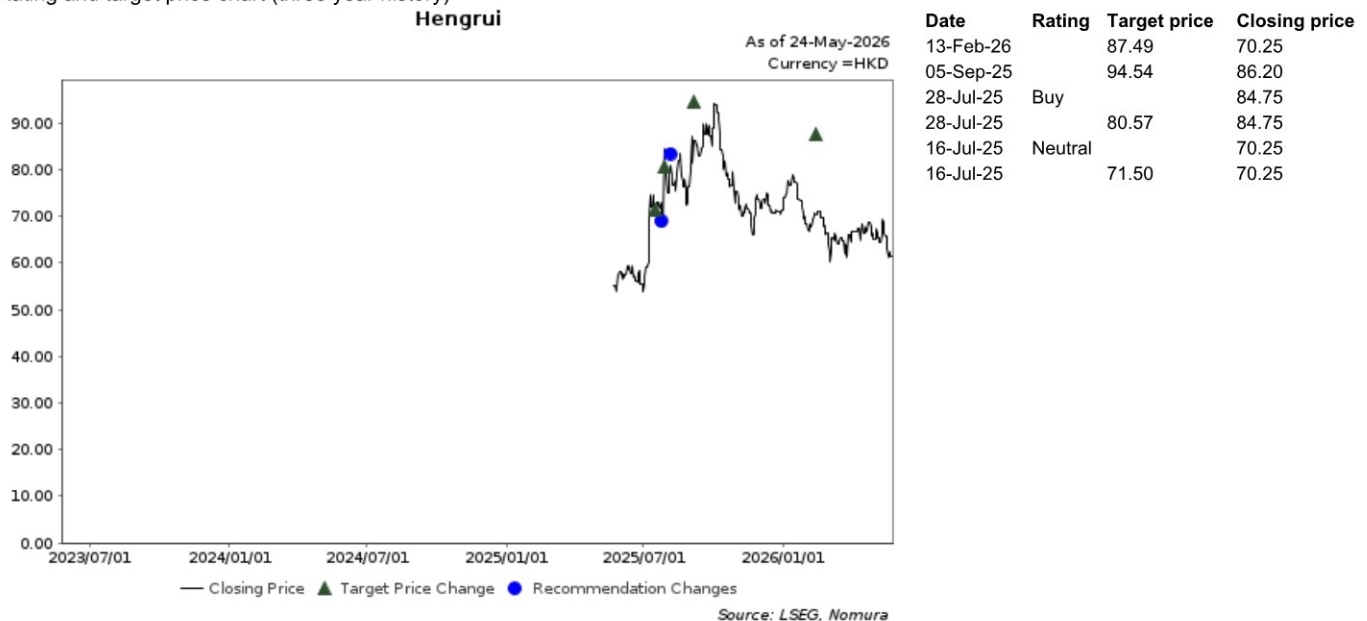
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Hengrui	1276 HK	HKD 61.35	22-May-2026	Buy	N/A	
Innovent	1801 HK	HKD 80.95	22-May-2026	Buy	N/A	
Hengrui	600276 CH	CNY 50.47	22-May-2026	Buy	N/A	

Hengrui (1276 HK)

HKD 61.35 (22-May-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of CNY87.49 is based on a DCF model assuming WACC of 8.7% and terminal growth of 5.0%. The benchmark index for the stock is CSI 300.

Risks that may impede the achievement of the target price Downside risks include: (1) price cuts in next round VBP; (2) valuation premium narrowed and (3) unsuccessful BD and clinical progress;

Innovent (1801 HK)

HKD 80.95 (22-May-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
12-Feb-26		114.64	89.05
27-Aug-25		105.08	91.00
29-Jun-25		89.80	77.35
17-Feb-25		54.60	38.50
28-Aug-24		58.09	44.10
15-Jul-24		55.87	39.10
23-Feb-24		55.31	39.80
03-Nov-23		54.51	46.20
20-Jul-23		45.73	31.25

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of HKD114.64 is based on DCF model (discount back to end-2025), assuming WACC of 10.3% and a terminal growth of 4.0%. The benchmark index for the stock is Hang Seng Index.

Risks that may impede the achievement of the target price Downside risks include: (1) intensifying competition for GLP-1 drugs, (2) VBP on biosimilars and (3) IBI363 clinical development setback.

Hengrui (600276 CH)

CNY 50.47 (22-May-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
13-Feb-26		72.38	58.23
05-Sep-25		78.21	72.47
28-Jul-25	Buy		62.04
28-Jul-25		66.66	62.04
16-Jul-25		59.15	57.22
31-Mar-25		53.45	49.20
25-Feb-25		51.31	47.37
21-Oct-24		50.17	50.56
22-Jul-24		48.32	42.77
14-Mar-24		51.12	47.03
16-Oct-23		49.24	44.23
24-Jul-23		50.19	47.29

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of CNY72.38 is based on a DCF model assuming WACC of 8.7% and terminal growth of 5%. The benchmark index for the stock is CSI 300.

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